

SURVEY OF DOMESTIC GAME DEVELOPERS

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EXECUTIVE SUMMARY

The Indian gaming industry is poised for remarkable growth, projected to triple in value and reach \$3.9 billion by 2025. This study provides deep insights into the experiences, perspectives, and challenges faced by domestic game developers across different segments of the industry.

Through in-depth interviews with 22 game developers, this qualitative research uncovers key trends shaping the industry landscape. The findings highlight a notable shift in the geographic distribution of game development, with a growing preference for Tier-2 cities driven by factors such as cost efficiency, talent availability, and improved work-life balance.

The report delves into the diverse investment prospects and strategies of game developers, ranging from early-stage startups seeking external funding to mature creators focused on organic growth. Regulatory uncertainties, talent acquisition challenges, and marketing hurdles emerge as significant obstacles, particularly for early-stage companies.

Mature game development studios grapple with difficulties in securing investor interest, accessing specialized technical knowledge, and retaining skilled talent amidst rising costs. Service providers² face barriers in business development, regulatory compliance, and market visibility, while focused studios struggle to hire developers with specialized backend expertise.

The insights gathered from this study offer valuable guidance for stakeholders in the gaming ecosystem, informing strategies to address industry-wide challenges and leverage emerging opportunities for growth and innovation.

INTRODUCTION

The global video gaming industry is expected to grow from USD 199.74 billion in 2022 to USD 307.19 billion by 2029, showcasing a compound annual growth rate of 6.3% throughout the forecast timeframe. In 2021, the Asia Pacific region led the video game market, holding a market share of 52.8%.¹

India is anticipated to emerge as a prominent market in the global gaming industry. With consistent growth over the past five years, it is projected to triple in value, reaching USD 3.9 billion by 2025.²

The industry has drawn steady investments amounting to \$2.78 billion from both domestic and foreign sources from FY20 to FY24 YTD. Additionally, it provides direct and indirect employment for about 100,000 people, with the potential to grow to 250,000 jobs by 2025.³

1. Available at <https://www.fortunebusinessinsights.com/video-game-market-102548>

2. Available at <https://nikopartners.com/india-games-market-report/>

3. Available at <https://kalaari.com/wp-content/uploads/2023/01/Gameconomy-by-Kalaari-Jan-2023.pdf>

RESEARCH METHODOLOGY

The primary objective of this study is to provide deep insights into the Indian game development industry, uncover emerging trends, and highlight the challenges faced by domestic game developers. The findings aim to contribute towards a better understanding of the industry landscape and offer valuable insights for stakeholders in the gaming sector.

This study utilizes a qualitative research approach, focusing on primary research methods to gather rich insights directly from game developers. This involved conducting in-depth interviews with a diverse spectrum of game developers across different segments of the industry to capture a comprehensive view of their experiences, perspectives, and challenges.

For the study, 22 game developers were interviewed from various domains, such as mobile gaming, PC/console gaming, indie developers, and established studios. A diverse sample size of game developers was targeted to ensure representation across different segments and experiences within the industry.

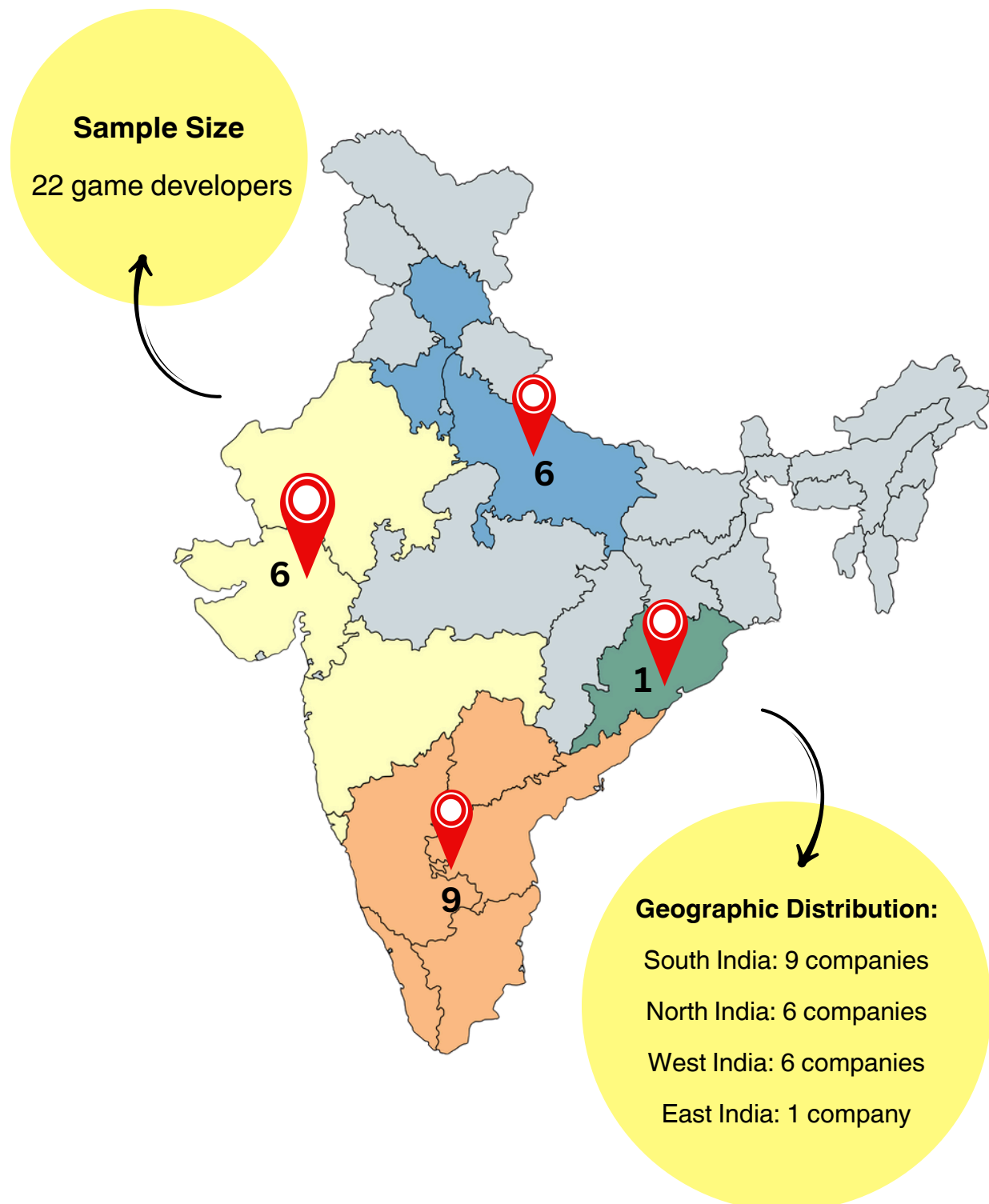
Semi-structured interviews were conducted with game developers to delve into their insights, trends they observe, and challenges they face. Questions are designed to elicit detailed responses, focusing on topics such as market challenges, technology adoption, regulatory issues, investment prospects, emerging trends, hiring requirements, and growth opportunities.

Qualitative data collected from the interviews has been analyzed using thematic analysis to identify key themes, patterns, and trends emerging from the responses. Responses are coded, categorized and grouped based on recurring patterns and themes to derive meaningful insights from the data.

The findings may be limited by the characteristics of the sample interviewed. However, efforts have been made to ensure a diverse and representative sample to minimize bias.

Recommendations based on the findings will be provided to guide stakeholders in the gaming industry towards addressing challenges and leveraging opportunities for growth.

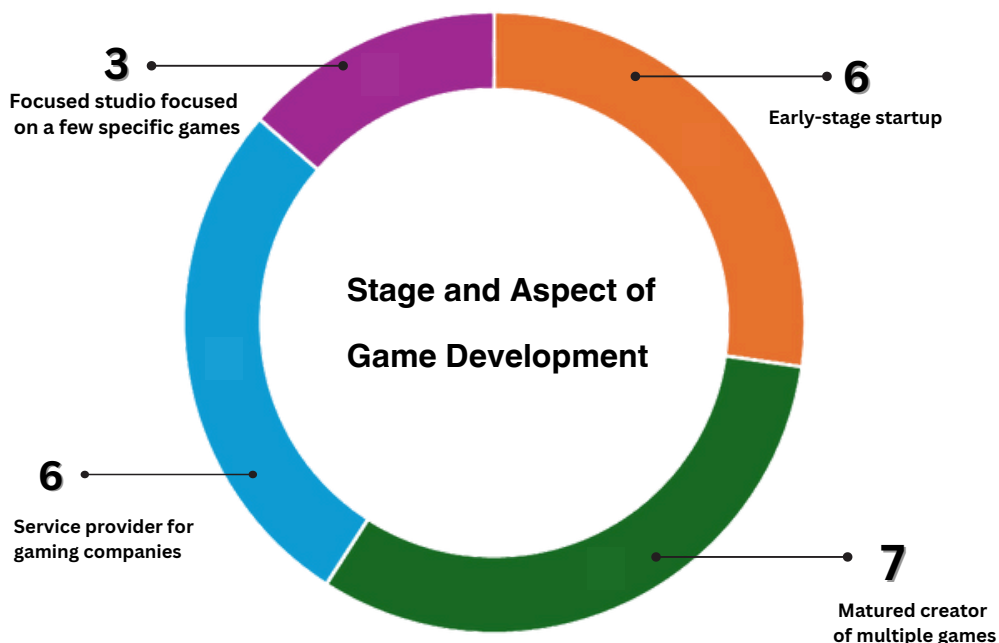
SUMMARY STATISTICS





Segments Covered:

- Early-Stage Startups (gaming companies that have recently entered the market and may not have an established business model): 6 companies
- Matured Creators of Multiple Games (Game developers with an established business model, clientele and multiple gaming titles developed): 7 companies
- Service Providers (companies primarily providing ancillary services or outsourcing on aspects of game development to other companies) : 6 companies
- Focused Studios on Specific Games (game development studios working to both develop and publish games under their own brand identity and intellectual property): 3 companies



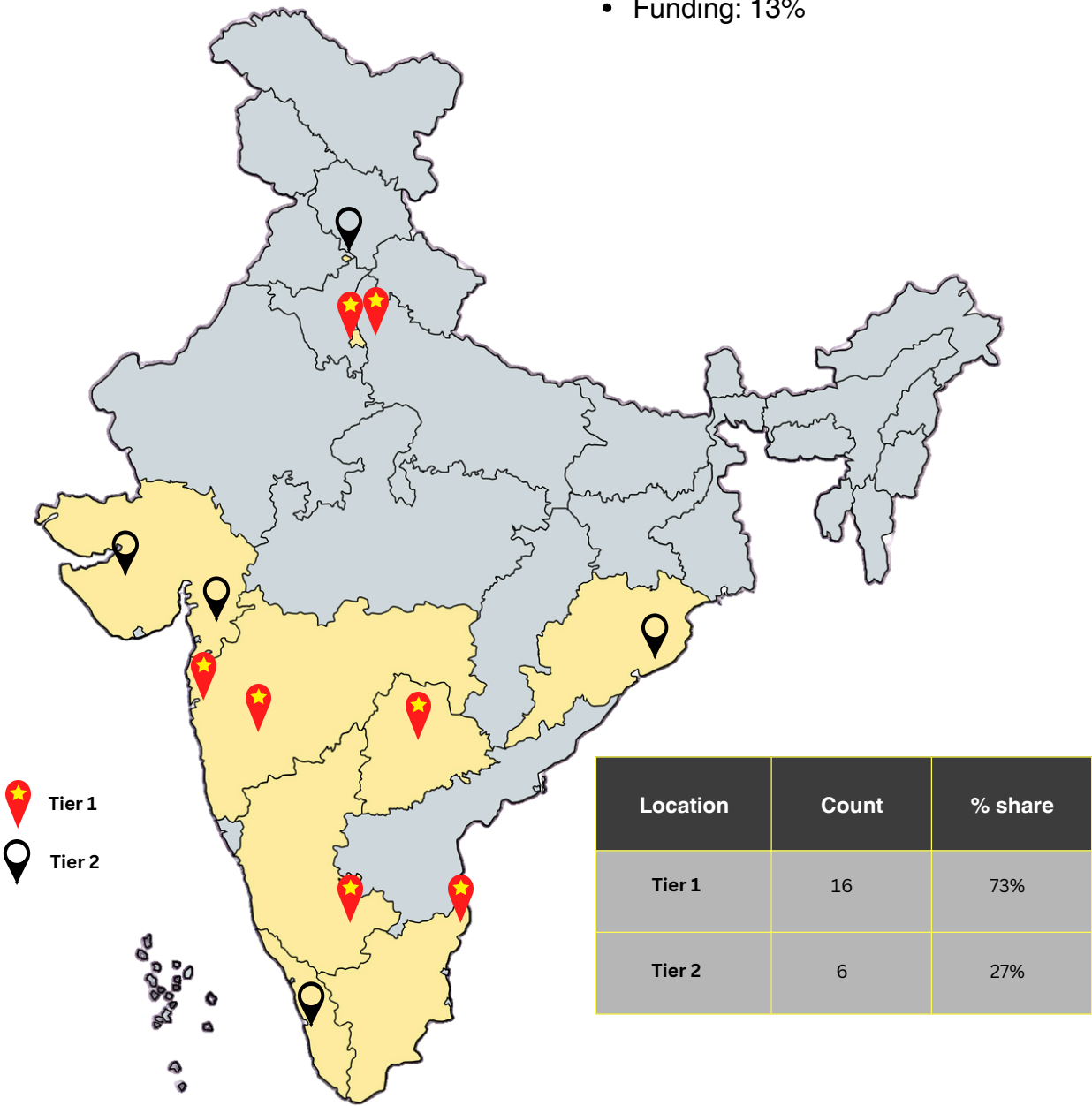
Demographic Profile:

Gender Distribution:

- Male: 95%
- Female: 5%

Challenges Identified:

- Market Competition: 38%
- Talent Acquisition: 31%
- Regulatory Environment: 19%
- Funding: 13%



A notable trend has been observed in the location preferences of game developers in India. Traditionally concentrated in metropolitan areas like Bangalore, Pune, and Hyderabad, there has been a trend of game developers moving away from the metros and non-IT cities towards Tier-2 cities. The newfound flexibility in work arrangements, coupled with advancements in technology that facilitate remote work, has spurred a development boom in cities such as Ahmedabad, Rajkot, Surat, Kochi, and Puri.

The following are key reasons driving this significant migration:

1. Cost Efficiency

Tier-2 cities offer a more affordable operating environment compared to major metros. Lower real estate costs, reduced overhead expenses, and competitive wages make these cities attractive for game development companies seeking cost efficiencies without compromising on quality.

2. Talent Availability

Sufficient pool of low-skill new graduates from the colleges in tier-2 cities, including software engineers, graphic designers, and animators, who are eager to contribute to the growth of the gaming industry. High investments are made by the game developing companies to get this low skill talent to make them employable. Game developers find it easier to recruit and retain talent in these cities, leveraging the local expertise to drive innovation and creativity.

3. Large untapped markets

Untapped markets with growing consumer bases for gaming products and services. By establishing a presence in smaller cities, game developers not only benefit from a local market perspective but also expand their reach to diverse demographics and emerging gaming communities that may have been overlooked in metropolitan-centric strategies.

4. Infrastructure Development

Improvements in connectivity, infrastructure, and digital capabilities in Tier-2 cities have made remote collaboration and communication more seamless than ever before. Game developers can now leverage advanced technology and network infrastructure to work efficiently from locations outside of metropolitan areas, facilitating a smooth transition to these emerging hubs.

5. Work-Life Balance

The move to Tier-2 cities allows game developers to enjoy a better work-life balance, with potentially less traffic congestion, pollution, and stress associated with metropolitan living. The relaxed pace of life, access to nature, and community-focused environments in these cities contribute to a more holistic and fulfilling professional experience.

The migration of game developers to Tier-2 cities in India is driven by an alignment of economic, social, and market factors; this shift underscores the industry's adaptability and resilience in exploring and the potential to overcome challenges to drive creativity and success.

INVESTMENT PROSPECTS

A crucial question was posed regarding their current interest in seeking investment prospects. The responses show a nuanced landscape shaped by varying levels of maturity, growth objectives, and strategic considerations.

Early-Stage Startup:

Among early-stage startups, a prevalent enthusiasm for seeking investment prospects was observed. 50% of early-stage startups expressed a keen interest in securing investments to fuel their growth, enhance product development, and expand their market reach. These startups, typically at a nascent stage of development, are actively seeking external funding to establish a strong foundation and accelerate their growth trajectory.

Matured Creator of Multiple Games:

In contrast, mature creators of multiple games exhibited a more conservative approach towards investment prospects. 40% of this segment indicated an inclination towards seeking external investments, citing reasons such as financial stability, self-sufficiency, and a focus on sustainable growth. These established players in the industry are leveraging their experience and existing resources to continue their success without immediate external funding requirements.

Service Providers:

Service providers for gaming companies demonstrated an upbeat response to seeking investment prospects. While 50% of service providers expressed an interest in exploring investment opportunities to enhance their service offerings, expand their client base, and invest in technology upgrades, the rest opting for organic growth strategies and reinvesting profits back into the business. This segment appears to weigh the benefits of external investments against the autonomy and control afforded by self-funded growth.

Focused Studio on Specific Games:

Focused studios concentrating on a few specific games showcased a conservative perspective on investment prospects. 33% of focused studios expressed a cautious interest in seeking investments to scale up their operations, improve game quality, and diversify their portfolio, recognizing the potential benefits of external funding in achieving strategic expansion goals. However, most 67% of these studios preferred to rely on internal resources and revenue streams to maintain creative control and project independence.

SUPPORT FROM STATE & CENTRAL GOVERNMENTS

Among the questions posed to respondents, emphasis was also placed on the degree of support that gaming companies in India receive from the Central Government, as well as the relevant State Governments. The responses received indicated that some gaming companies across all categories did not avail, or were unaware, of specific Government support schemes and initiatives targeting the Indian gaming industry or start-ups more broadly.

For context, initiatives relating to the gaming sector can vary widely between States and regions. In December 2022, the Central Government released its Report by the AVGC Promotion Taskforce,⁴ which noted several constraints that were hobbling the AVGC sector in the country. These included the lack of authentic sectoral data, infrastructure constraints, a skill gap in employment, a lack of dedicated funds or infrastructure and the absence of globally popular Indian intellectual properties. The report made several recommendations which included greater awareness and outreach, including the conduct of regular AVGC-themed showcase events in collaboration with the industry, establishing incubation funds for AVGC content development projects, and creating 'Centres of Excellence' for AVGC in India. However, there is no specific national policy for gaming and game development at the Central level.

Following the lead of the Central Government, various State Governments have also published their own AVGC policies which include dedicated funds for AVGC startups and establishing a specialized 'Centre of Excellence' catering to gaming.⁵ However, such forms of Government support are fragmented by region and State. The responses gathered indicate that awareness and access to crucial information regarding these initiatives is asymmetrically distributed across gaming companies. Respondents were nonetheless encouraging of further measures that Central and State Governments could undertake to support the sector. These suggestions have been integrated into the recommendations specified subsequently.

4. Realizing AVGC Sector Potential in India: Report by AVGC Promotion Task Force, Ministry of Information and Broadcasting, Government of India (2022), available at <https://mib.gov.in/sites/default/files/AVGC-XR%20Promotion%20Taskforce%20Report%20-%202022.pdf>

5. Karnataka AVGC-XR Policy 3.0 (2024-29), available at https://itbtst.karnataka.gov.in/storage/pdf-files/AVGC_Policy_2024.pdf

MOST SIGNIFICANT CHALLENGE

Our research has identified several common challenges that game developers in India are grappling with, regardless of their stage of growth or the nature of their operations.

1. Talent acquisition and retention

- **Shortage of Skilled Game Developers:** A persistent challenge for Indian game developers is the scarcity of skilled professionals, particularly those with specialized expertise in areas such as game design, programming, and animation.
- **Competition for Talent:** Larger studios pose intense competition for talent, making it challenging for smaller developers to attract and retain skilled individuals.
- **Lack of Training Programs:** The absence of dedicated training programs and educational initiatives specific to game development contributes to skill gaps and hinders the development of a robust talent pool.

2. Navigating regulatory uncertainty and an evolving landscape

- **Navigating regulatory ambiguities:** Developers often struggle with interpreting laws, licensing requirements, and content guidelines, which can be a daunting task, leading to uncertainties in compliance. Also, regulations often fail to keep pace with the industry's rapid transformation.

- **Impact of regulatory changes:** Adapting to various regulatory shifts requires game developers to invest significant resources in understanding and complying with the new requirements, diverting their focus from core development and innovation.

3. Marketing and discovery challenges

- **Product differentiation:** Differentiating their products and effectively engaging with target audiences requires a comprehensive, data-driven approach to marketing and user acquisition. However, game developers often struggle to navigate the complexities of digital marketing, brand positioning, and community engagement, hampering their ability to reach and retain their desired user base.
- **Limited marketing platforms:** The lack of dedicated platforms and channels for game developers to showcase their capabilities and connect with potential clients or partners further compounds the visibility challenge. Relying on word-of-mouth referrals or traditional marketing methods often proves insufficient in a highly competitive and rapidly evolving industry.
- **Perception and distinctions in gaming practices:** Gaming in India is filled with misconceptions and stereotypes. Advocating for a positive impact of gaming and promoting a nuanced understanding is critical for maintaining ethical standards and safeguarding user interests in the gaming ecosystem.

Challenges Faced by Early-Stage Game Development Companies in India

Early-stage game development companies in India encounter a myriad of challenges that shape their growth trajectory and operational resilience within the dynamic gaming landscape. Among the various hurdles identified, two major challenges emerge prominently: (i) business development and (ii) barriers to discovery.

1. Business Development

- **Lack of Industry Connections:** New developers frequently lack the industry connections necessary for forging partnerships with publishers and distributors, limiting their growth opportunities.
- **Limited Access to Funding:** Early-stage developers often find it difficult to secure capital from venture capitalists or angel investors. Many investors remain hesitant to invest in gaming projects, perceiving them as high-risk ventures with uncertain returns.

2. Barriers to Discovery

- **High Costs of Marketing:** Effective marketing strategies, which are essential for discovery, often require substantial financial resources. Early-stage developers usually operate with tight budgets, limiting their ability to promote their games adequately.
- **Platform Dependency:** Many developers are reliant on major gaming platforms (such as Steam, Google Play, or the App Store) for distribution. These platforms often have complex algorithms and ranking mechanisms that can significantly affect a game's visibility and, consequently, its sales performance.

- **Market Saturation:** The gaming market is becoming increasingly saturated, making it difficult for new titles to stand out. Even innovative and high-quality games can struggle to gain visibility amidst a plethora of existing products.

Challenges Faced by Matured Creators of Multiple Games Companies in India

Matured creators of multiple gaming companies in India encounter a set of distinct challenges that influence their operational efficiency, growth strategies, and market competitiveness within the evolving gaming industry. Two prominent issues have been identified: (i) difficulties in securing suitable investors and (ii) the rising costs of development coupled with talent retention challenges.

1. Difficulty Finding Investors

- **Lack of Understanding:** Many traditional investors tend to concentrate on conventional performance metrics, such as user acquisition numbers and rapid growth, which can be misleading in the context of gaming. These metrics often fail to capture the comprehensive nature of game development, which is inherently a long-term and iterative process.
- **Limited Patient Capital:** Unlike sectors where rapid returns are typical, the gaming industry often requires a longer timeline for games to gain traction and profitability. Traditional investors may be less willing to commit to this extended duration due to their focus on quicker financial returns, causing a disconnect between the needs of game developers and the expectations of potential investors.

- **Inadequate Funding Models:** Many existing funding models do not cater effectively to the gaming industry's peculiarities. Game developers may find it difficult to navigate financing options tailored specifically for the diverse outputs of the gaming sector, such as mobile games, AR/VR experiences, and indie titles.

2. Cost of Development and Talent Retention

- **Rising Salaries:** As the Indian gaming industry gains momentum, the competition for experienced talent has intensified. Funded game companies often offer lucrative packages to attract top developers, which can lead to inflated salary expectations across the sector.
- **Talent Shortages:** While the gaming industry in India is expanding, there remains a persistent shortage of skilled professionals across various disciplines—art, design, programming, and sound. This skills gap further complicates the talent retention challenge, as companies struggle to fill essential roles with qualified candidates.
- **Budget Constraints:** Striving to maintain quality while adjusting to rising costs becomes a balancing act. Mature game developers struggle to manage their financial resources effectively amid increasing development costs and mounting talent expenses, potentially sacrificing innovation or game quality in the process.

The Challenges of Breaking In: A Look at Service Providers in the Indian Gaming Industry

The Indian gaming industry is experiencing rapid growth, but for service providers, the path to success is paved with challenges. Our in-depth interviews with a diverse range of game developers revealed a consistent narrative: the market is difficult to penetrate, particularly for newcomers.

1. Big players cornering the market

- **Market Saturation:** Large gaming companies often dominate the market, making it difficult for smaller service providers to compete. These big players can leverage their substantial financial resources for marketing, technology, and distribution, thereby overshadowing smaller competitors that struggle to gain visibility.
- **Consolidation of Resources:** With big players acquiring or investing in smaller studios and service providers, the landscape can become increasingly monopolized, limiting opportunities for independent providers to thrive. This consolidation reduces the diversity of offerings in the market and fosters an ecosystem where smaller entities may find it challenging to secure contracts or partnerships.

2. Limited avenues to secure new business opportunities

- **Lack of Networking Opportunities:** Many service providers report limited availability of networking events or industry forums where they can connect with potential clients or partners. While the gaming sector is growing, the opportunities for meaningful networking remain scarce, especially for niche service providers.

- **Dependence on Established Relationships:** Service providers often rely heavily on existing relationships to secure contracts. While personal connections are valuable, this reliance can limit the ability to explore new markets or clients outside of established networks.

Challenges Faced by Focused Game Studios in India

While the Indian gaming industry is experiencing rapid growth, focused studios specializing in a few specific games face unique challenges, particularly in the realm of talent acquisition. Studios revealed a consistent struggle to find and retain skilled personnel, particularly those with specialized expertise in backend infrastructure.

1. Absence of dedicated training programs for specific game development niches

- **Skill Gaps:** The absence of dedicated training programs means that many developers and designers enter the industry without the specific skills required for niche game development. For instance, studios focusing on unique genres such as simulation, narrative-driven, or academic games face difficulties in finding talent with the right skill sets.
- **Limited Educational Resources:** While general game design courses exist, there are few programs concentrated on particular aspects of game development, such as virtual reality, augmented reality, or mobile gaming. This gap leaves developers without access to the latest techniques and industry best practices that are crucial for success in specialized markets.

- **Knowledge Transfer Constraints:** Without formal training pathways, the knowledge transfer from experienced practitioners to newcomers is often informal and inconsistent. This can lead to a disparity in skills among team members, ultimately affecting the quality of the games developed.

2. Backend expertise

- **Limited Availability of Specialized Talent:** The demand for backend developers, especially those with experience in game networking, server management, and database integration, often exceeds the supply. This scarcity can lead to project delays and hinder the ability to launch games effectively.
- **Complexity of Backend Systems:** Game development increasingly involves complex backend systems to support multiplayer functionality, real-time updates, and cloud-based services. Without adequate backend expertise, studios may face significant challenges in creating stable, reliable gaming experiences, negatively impacting player retention and engagement.
- **Maintenance and Scalability Issues:** A lack of backend expertise can result in ongoing challenges regarding the maintenance and scalability of games post-launch. Studios without robust backend systems may struggle to handle user growth or fix bugs, leading to potential reputational damage.

Recommendations: Government & Industry

The issues of the Indian gaming industry identified through the survey offers a number of opportunities for intervention and enhancing the support provided within the sector. Based on the issues outlined above, the following recommendations may be considered by both government and industry stakeholders.

For Government:

Promotion of Gaming within the AVGC Sector with targeted incubation funds:

Respondent gaming companies have indicated that well-publicized and accessible startup funding programs specifically for the gaming industry would provide a competitive edge to domestic gaming and stability at the most crucial stages of game development.

Access to capital is a crucial factor determining success for gaming ventures. In a world where global monetary tightening has resulted in the flight of foreign capital from emerging markets,⁶ facilitating greater access to investments can enable a greater innovative appetite among Indian game developers and publishers, and improve the global presence of Indian gaming. While AVGC related funding initiatives have been proposed at the State level, a national gaming oriented fund which identifies unique and promising games may avoid the pitfalls of fragmented support. A national fund would also be able to prioritize support for the development of cutting-edge technologies such as AI, augmented reality (AR), virtual reality (VR), and blockchain in gaming. This would enable Indian companies to stay competitive with global gaming leaders in terms of technological innovation.

Such measures are already under implementation in competing territories. For instance, Germany's Ministry of Culture recently announced a € 100 million fund over 3 years to overcome funding issues in domestic game development.⁷

6. International Monetary Fund Blog, Emerging Markets Show Resilience Despite Global Monetary Tightening, available at <https://www.imf.org/en/Blogs/Articles/2024/07/12/emerging-markets-show-resilience-despite-global-monetary-tightening>

7. See report available at <https://www.gamedeveloper.com/business/germany-s-ministry-of-culture-creates-100m-subsidy-for-games-funding>

Introduce output-oriented skill development programs for gaming:

A key bottleneck in India's game development aspiration, as identified by companies, was the lack of access to a highly-skilled workforce. Government initiatives should prioritize targeted skill programs for gaming professionals, focusing on backend expertise and other relevant game-development skills. Incentives for educational institutions to create specialized gaming courses may help bridge the existing skill-gap that is presently overcome through captive training by employers. In collaboration with the gaming industry, specialized courses may be established that improve the quality of graduates interested in a career in game development.

Such an initiative would require the engagement of relevant stakeholders in the skilling ecosystem, which include the Ministry of Skill Development and Entrepreneurship, Ministry of Human Resource Development, and enablers such as National Skill Development Corporation, Society for Skill Development, polytechnics, training providers, schools, colleges, and universities, as identified by the AVGC Taskforce.⁸

Promoting champions of industry:

To increase India's cultural soft-power and global perception as a gaming hub, the Indian government may consider identifying and supporting key 'champions' within the domestic gaming industry. These champions, comprising high-potential game development studios and service providers, can be strategically nurtured to represent India's growing creative and technical excellence on the global stage. Identified champions of the gaming industry may be provided targeted financial and strategic support to enable them to scale internationally.

The Central Government may also consider collaborating with the industry to organize gaming-specific international trade missions to key global gaming markets (such as the U.S., Europe, Japan etc.). These missions would provide opportunities for Indian 'champions' to showcase their products, network with global partners, and attract international investment.

8. Realizing AVGC Sector Potential in India: Report by AVGC Promotion Task Force, Ministry of Information and Broadcasting, Government of India (2022), pg 31 available at <https://mib.gov.in/sites/default/files/AVGC-XR%20Promotion%20Taskforce%20Report%20-%202022.pdf>

For Industry:

Talent development initiatives:

Enhancing the visibility and appeal of careers in game development is essential for attracting and retaining talent in the industry. This can be achieved through comprehensive talent development initiatives such as workshops, internships, and mentorship programs that connect aspiring developers with experienced professionals. Industry involvement in educational institutions can help better prepare students for careers in the field. Sharing success stories of established Indian game developers can also inspire new entrants and enhance the overall perception of career opportunities within the industry.

Improve access to investment opportunities:

Many game developers face significant hurdles in accessing funding, which hampers innovation and growth. To address this, it is critical to improve access to investment opportunities, particularly for 'indie' developers and smaller studios. The establishment of investment funding programs, pitch contests, and partnerships with venture capitalists or angel investors specifically focused on the gaming sector can significantly enhance financial support. Creating platforms for showcasing emerging projects may also attract investment and foster a culture of financial backing within the industry.

Public awareness campaigns focusing on perceptions of gaming:

There is a pressing need for public awareness campaigns aimed at reshaping the perception of gaming in India. Many individuals still hold limited or negative views about the gaming industry, often seeing it as solely a recreational activity. Campaigns should focus on educating the public about the positive impacts of gaming, including its potential for developing critical thinking skills, fostering creativity, and providing career opportunities. Collaborations with educational institutions, media platforms, and influencers can be instrumental in promoting a more balanced and informed perspective on gaming.

Collaboration among industry stakeholders:

Fostering collaboration among various industry stakeholders is vital for cultivating a more inclusive and supportive ecosystem for service providers. This collaborative approach can involve organizing networking events, conferences, and meetups that encourage interaction and knowledge sharing among developers, publishers, and service providers. Creating platforms for collaboration will not only facilitate resource sharing but also enhance the digital marketing capabilities of developers, enabling them to better position their games in a competitive market.

WHAT IS AIGDF ?

The All India Game Developers Forum (**AIGDF**) is a not-for-profit collective representing the interests of Indian game developers. AIGDF is committed to greater representation of Indian game developers as a key stakeholder of the AVGC sector. AIGDF endeavors to be an active contributor in shaping centers of excellence, technology labs and hubs, and dedicated coursework for game development. It also aims to be active in creating a healthy ecosystem of game developers and enablers.